

July 29, 2026 04:01 PM GMT

Standard Chartered | Asia Pacific

Standard Chartered: Estimates Raised, OW Rating Retained

WHAT'S CHANGED

Standard Chartered (2888.HK)	From	To
Price Target	HK\$250.00	HK\$263.00

Standard Chartered Bank (STAN.L)		
Price Target	2,369p	2,526p

We have an Overweight rating because we continue to see scope for further RoTE improvement, attractive capital returns, and undemanding valuation.

Key Takeaways

- Management modestly upgraded guidance: NII growth moved from flat to low single digits, with revenues guided toward the midpoint of the 5–7% range.
- We raise earnings estimates 6.4% for 2026, 3.7% for 2027, and 2.4% for 2028. We're now +2%, -2%, and +1% vs. pre-results consensus.
- We increase our scenario values and price targets.

2Q in brief – 13% PBT beat vs. consensus, driven by top line: Costs were below expectations, helped by a US\$74mn Korean provision release (ex this, in line). Credit quality was well managed, despite additional overlays and some increase in early warning exposures. CET1 ratio of 14.2% was stronger than expected because of lower RWAs, although this drop is expected to reverse in 2H26. US\$1bn buyback (consensus US\$1.2bn), Dividend ahead of consensus but in line with policy.

Call takeaways: The breadth of the underlying growth engines was emphasised, particularly in Wealth and Global Banking. In Wealth, net new invested assets were US\$9bn (1Q26 US\$3bn); growth was broad-based across 13 markets. In CIB, Global Banking was a standout with origination and distribution volumes growing 37% and 15%, respectively – network-led corporate activity remains a structural earnings driver. On asset quality, management noted that Middle East overlays mainly related to petrochemicals and potential sovereign downgrades; however, it emphasised that >90% of Middle East exposures are to sovereigns and financial institutions and that Stage 3 assets remain stable despite an increase in early alerts. Growth in digital assets business continues with tokenised deposits running at ~US\$11bn per month largely linked to cross-border e-CNY settlement activity.

Key risks: The secondary impacts of conflict in the Middle East are worth monitoring. In addition, NII growth could be partially offset by deposit mix headwinds and the rundown of certain WRB portfolios.

MORGAN STANLEY ASIA (SINGAPORE) PTE.+

Nick Lord

Equity Analyst

Nick.Lord@morganstanley.com

+65 6834-6746

Aitong Li

Research Associate

Aitong.Li@morganstanley.com

+65 6834-6295

Selvie Jusman, CFA

Equity Analyst

Selvie.Jusman@morganstanley.com

+65 6834-6517

MORGAN STANLEY EUROPE S.E., MADRID BRANCH+

Alvaro Serrano

Equity Analyst

Alvaro.Serrano@morganstanley.com

+44 20 7425-6942

MORGAN STANLEY & CO. INTERNATIONAL PLC+

Almario Sulaj

Research Associate

Almario.Sulaj@morganstanley.com

+44 20 7425-2049

Asia Summer School 2026

Standard Chartered (2888.HK, 2888 HK)

Hong Kong Financials | Hong Kong

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$263.00
Up/downside to price target (%)	14
Shr price, close (Jul 29, 2026)	HK\$231.40
52-Week Range	HK\$237.00-137.00
Sh out, dil, curr (mn)	2,247
Mkt cap, curr (mn)	US\$66,307
Avg daily trading value (mn)	HK\$201

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	1.95	2.32	2.67	3.16
Prior EPS (US\$)**	-	2.18	2.57	3.09
EPS (US\$)§	2.22	2.35	2.77	3.19
ModelWare net inc (US \$ mn)	4,693	5,250	5,796	6,610
P/E	12.4	12.7	11.0	9.3
P/BV	1.2	1.4	1.3	1.2
ROE (%)	10.9	11.6	12.6	13.8
Div yld (%)	2.5	2.4	2.7	3.4
Core tier 1 capital ratio,	14.1	13.6	13.8	13.7
Basel 3 (%)				

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

This document is for authorized use as per agreement with S&P Global Market Intelligence Inc.

Earnings Estimate Revisions

Following 2Q26 results, we have raised our earnings estimates for 2026, 2027, and 2028 by 6.4%, 3.7%, and 2.4%, respectively. The key changes include higher NII forecasts for all three years, driven by a better than previously expected rate environment and a small pickup in loan growth. With the support of the wealth, markets, and transaction services business, we have also raised forecasts for non-NII. The better revenue outlook, also drives higher costs.

Exhibit 1: Earnings estimate revisions

Standard Chartered	2026e			2027e			2028E		
US\$m	Old	New	% Var.	Old	New	% Var.	Old	New	% Var.
NII	11,332	11,514	1.6%	11,657	11,959	2.6%	11,749	12,497	6.4%
Non NII	10,656	10,828	1.6%	11,783	11,871	0.7%	13,372	13,043	-2.5%
Operating income	21,987	22,343	1.6%	23,440	23,830	1.7%	25,120	25,540	1.7%
Operating expenses ex Bank Levy	(13,162)	(13,283)	0.9%	(13,480)	(13,808)	2.4%	(14,052)	(14,393)	2.4%
Bank Levy	(80)	(80)	0.0%	(80)	(80)	0.0%	(80)	(80)	0.0%
Pre-provision operating profit	8,746	8,980	2.7%	9,879	9,942	0.6%	10,988	11,068	0.7%
Impairments	(882)	(845)	-4.2%	(1,011)	(1,011)	0.0%	(1,031)	(1,031)	0.0%
Profit from associates	(33)	(23)	-30.3%	(10)	(5)	NM	12	12	NM
Operating Profit	7,831	8,112	3.6%	8,858	8,926	0.8%	9,969	10,048	0.8%
EPS for cons. (\$)	2.18	2.32	6.4%	2.57	2.67	3.7%	3.09	3.16	2.4%

Source: Morgan Stanley Research estimates

Exhibit 2: Standard Chartered: Morgan Stanley estimates vs. consensus – following our revisions, we are +2%, -2%, and +1% vs. pre-results consensus

Standard Chartered US\$m	MSe	2026E Cons.*	% Var.	MSe	2027E Cons.*	% Var.	MSe	2028E Cons.*	% Var.
Operating income	22,343	22,166	1%	23,830	23,494	1%	25,540	24,980	2%
Operating expenses ex Bank Levy	(13,283)	(13,241)	0%	(13,808)	(13,399)	3%	(14,393)	(13,958)	3%
Bank Levy	(80)	(100)	-20%	(80)	(100)	-20%	(80)	(100)	-20%
Pre-provision operating profit	8,980	8,825	2%	9,942	9,995	-1%	11,068	10,922	1%
Impairments	(845)	(1,026)	-18%	(1,011)	(1,084)	-7%	(1,031)	(1,130)	-9%
Profit from associates	(23)	21	-210%	(5)	31	-116%	12	37	-68%
Operating Profit	8,112	7,820	4%	8,926	8,942	0%	10,048	9,829	2%
Exceptional items	0	0		0	0		0	0	
Pre-tax profit	8,112	7,820	4%	8,926	8,942	0%	10,048	9,829	2%
Taxation	(2,190)	(2,090)	5%	(2,410)	(2,428)	-1%	(2,713)	(2,655)	2%
Profit /loss for the period	5,922	5,730	3%	6,516	6,514	0%	7,335	7,174	2%
Minorities & AT1	(672)	(592)	14%	(720)	(601)	20%	(730)	(605)	21%
Profit and Loss to Ordinary shareholders	5,250	5,138	2%	5,796	5,913	-2%	6,605	6,569	1%
Balance Sheet \$m									
Loans and advances to customers	307,493	300,100	2%	321,020	312,400	3%	335,180	324,800	3%
Customers deposits	561,971	561,400	0%	595,689	589,500	1%	625,473	617,500	1%
Risk Weighted Assets	268,081	269,600	-1%	280,900	281,000	0%	294,348	292,700	1%
Common equity tier 1 capital	36,570	36,800	-1%	38,859	38,600	1%	40,459	40,700	-1%
Per Share Data									
Statutory basic earnings (cents)	239.2	233.8	2%	275.6	281.5	-2%	326.8	327.4	0%
Dividend (cents)	72.0	71.0	1%	80.0	85.3	-6%	100.0	98.0	2%
Ratios and other key metrics									
Common equity tier 1 ratio (%)	13.6%	13.7%	-0.4%	13.8%	13.8%	0.2%	13.7%	13.9%	-1.1%
Reported return on tangible equity (%)	13.3%	13.1%	0.2%	14.2%	14.6%	-0.4%	15.5%	15.5%	0.0%

Source: :Company consensus, Morgan Stanley Research estimates

Valuation Methodology

Higher earnings estimates mean that we have raised our bear, base, and bull case values 12%, 3%, and 10% respectively for 2888.HK., Our price target is now HK\$263, up 5%.

After adjusting for changes in FX, the price target for STAN.L is now 2526p, up 6.6%.

We retain OW on both 2888.HK and STAN.L.

Exhibit 3: Standard Chartered - three-stage Gordon Growth Model - base case

3 stage Gordon Growth Model

Assumption

Assumption:			
Risk Premium		7.0%	
Risk Free		3.0%	
Beta		1.00	
CoE		10.0%	
Sus RoE		9.0%	
Payout ratio		73.0%	
Sus G		2.4%	
(RoE-SusG)/(CoE-SusG)		0.87	
Current Price (HK\$)	231	Current Price (US\$)	30
Fair Value (HK\$)	243.3	Fair Value (US\$)	31
Upside			

STAN	DPS (US\$)	EPS (US\$)	Payout Ratio	RoTE	G	CoE	NTAV (US\$)	DF	PV
2024	0.37	1.42	26%	9.7%	7%	10.0%	15.41		
2025	0.61	1.95	31%	11.9%	8%	10.0%	17.30		
2026e	0.72	2.32	31%	12.9%	9%	10.0%	18.62		
2027e	0.80	2.67	30%	13.8%	10%	10.0%	20.17	1.00	0.80
2028e	1.00	3.16	32%	15.0%	10%	10.0%	22.02	0.91	0.91
2029e	1.20	3.75	32%	16.2%	11%	10.0%	24.30	0.83	0.99
2030e	1.40	4.44	32%	17.3%	12%	10.0%	27.18	0.75	1.05
NPV of forecast Dividends	3.75								
2031	1.55	4.69	33%	17.5%	11.7%	10.0%	30.33	0.68	1.06
2032	1.86	5.31	35%	17.5%	11.4%	10.0%	33.78	0.62	1.15
2033	2.36	5.91	40%	17.0%	10.2%	10.0%	37.32	0.56	1.33
2034	2.86	6.34	45%	16.0%	8.8%	10.0%	40.81	0.51	1.47
2035	3.26	6.53	50%	15.0%	7.5%	10.0%	44.08	0.47	1.52
2036	3.64	6.61	55%	14.0%	6.3%	10.0%	47.05	0.42	1.54
2037	3.95	6.59	60%	13.0%	5.2%	10.0%	49.69	0.39	1.52
2038	4.20	6.46	65%	12.0%	4.2%	10.0%	51.95	0.35	1.47
2039	4.36	6.23	70%	11.0%	3.3%	10.0%	53.82	0.32	1.39
2040	4.32	5.92	73%	10.0%	2.7%	10.0%	55.42	0.29	1.25
NPV of 11-20 year dividends	13.71								
NPV of Terminal Value	13.93								
12 month base case fair value (US\$)	31.40								
12 month upside	5.2%								
12 month base case fair value (HK\$)	243.3								

Source: Company data, E=Morgan Stanley Research estimates

Financial Summary

Exhibit 4: Financial Summary

Income Statement						Ratio Analysis					
\$ in millions, year-end Dec						FY24 FY25 FY26e FY27e FY28e					
Net interest income	11,112	11,184	11,514	11,959	12,497	Per Share Data					
% YoY change	8%	1%	3%	4%	5%	EPS reported	1.41	1.95	2.39	2.76	3.27
Net Fee Income	3,734	4,249	4,674	5,141	5,604	EPS Adjusted	1.41	1.95	2.39	2.76	3.27
Trading Income	9,615	10,294	10,845	10,700	11,547	% YoY change	30%	38%	22%	15%	19%
Other (net of claims, ex own debt)	(4,918)	(4,785)	(4,691)	(3,970)	(4,108)	EPS (for consensus)	1.42	1.95	2.32	2.67	3.16
Non interest income	8,431	9,758	10,828	11,871	13,043	DPS	0.37	0.61	0.72	0.80	1.00
% YoY change	8%	16%	11%	10%	10%	% YoY change	37%	65%	18%	11%	25%
Total operating revenues	19,543	20,942	22,343	23,830	25,540	Dividend Yield	1.6%	2.7%	3.2%	3.6%	4.4%
% YoY change	8%	7%	7%	7%	7%	Payout Ratio	26%	31%	30%	29%	31%
Operating expenses	(12,502)	(13,304)	(13,363)	(13,888)	(14,473)	TBV per share in US\$	15.4	17.3	18.6	20.2	22.0
% YoY change	8%	6%	0%	4%	4%	BV per share in US\$	17.8	20.1	21.6	23.2	25.3
Operating profit before impairment	7,041	7,638	8,980	9,942	11,068	Shares outstanding, wt avg	2,543	2,333	2,194	2,103	2,023
% YoY change	9%	8%	18%	11%	11%	Valuation metrics					
Impairment losses	(1,135)	(737)	(845)	(1,011)	(1,031)	P/E	17.0	12.3	10.1	8.7	7.4
Associates	108	62	(23)	(5)	12	P/TBV	1.56	1.39	1.29	1.19	1.09
Operating profit	6,014	6,963	8,112	8,926	10,048	P/B	1.35	1.20	1.12	1.03	0.95
% YoY change	-1%	16%	16%	10%	13%	Profitability					
Conduct/litigation costs	0	0	0	0	0	RoE	8.3%	10.3%	11.2%	11.9%	13.0%
Other one-off costs	0	0	0	0	0	RoNAV	9.7%	11.9%	12.9%	13.8%	15.0%
Profit before tax (reported)	6,014	6,963	8,112	8,926	10,048	RoA	0.5%	0.6%	0.6%	0.6%	0.7%
% YoY change	18%	16%	16%	10%	13%	RoRWA	1.5%	1.9%	2.0%	2.1%	2.3%
Tax charge	(1,972)	(1,866)	(2,190)	(2,410)	(2,713)	NIM (NII / AIEA)	1.4%	1.4%	1.3%	1.3%	1.3%
% Tax rate	26%	26%	26%	26%	26%	Total rev / average assets	2.3%	2.4%	2.3%	2.3%	2.4%
Minorities (incl. AT1 & Pref.shares)	(449)	(539)	(672)	(720)	(725)	Total rev / RWAs	7.9%	8.1%	8.3%	8.5%	8.7%
Net Attributable Profit	3,593	4,558	5,250	5,796	6,610	NII / Tot revenues	56.9%	53.4%	51.5%	50.2%	48.9%
% YoY change	19%	27%	15%	10%	14%	Fees / tot revenues	19.1%	20.3%	20.9%	21.6%	21.9%
Dividends (net of scrip)	(1,028)	(1,380)	(1,680)	(1,755)	(2,103)	Trading / tot revenues	49.2%	49.2%	48.5%	44.9%	45.2%
Retained Profits	2,565	3,178	3,570	4,041	4,507	Efficiency					
						Cost / Income	64%	64%	60%	58%	57%
						Cost / assets	1.5%	1.4%	1.3%	1.3%	1.3%
						Cost / RWAs	5.1%	5.2%	5.0%	4.9%	4.9%
						Balance Sheet Gearing					
						Loan / deposit	61%	54%	55%	54%	54%
						Investment / assets	47%	47%	47%	47%	48%
						Loan / assets	33%	31%	31%	31%	31%
						Customer deposits / funding	82%	82%	83%	83%	83%
						LT Debt / funding	13%	13%	13%	13%	13%
						Asset Quality					
						NPLs	2,255	2,877	317,814	656,828	685,572
						% YoY change	-22%	28%	10947%	107%	4%
						NPLs/gross loans	0.8%	1.0%	102.0%	202.1%	202.1%
						Loan loss reserves / NPLs	217%	141%	1%	1%	1%
						LLP / Loans	0.40%	0.26%	0.28%	0.32%	0.31%
						Capital					
						Tier 1 capital	41,672	43,949	44,956	46,734	48,678
						Common Equity Tier 1 capital	35,190	36,440	36,570	38,859	40,459
						RWAs	247,065	258,031	268,081	280,900	294,348
						% YoY change	1%	4%	4%	5%	5%
						Total Tier 1	16.9%	17.0%	16.8%	16.6%	16.5%
						Tier 1 Leverage Ratio	4.8%	4.7%	4.3%	4.3%	4.3%
						CET 1 Basel III	14.2%	14.1%	13.6%	13.8%	13.7%

Source: Company data, E=Morgan Stanley Research estimates

Risk Reward – Standard Chartered (2888.HK)

Longer-term RoTE and capital returns remain supportive; valuation undemanding

PRICE TARGET HK\$263.00

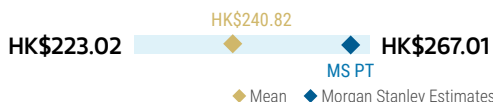
Gordon Growth model, probability-weighted 25% bull, 70% base, 5% bear (based on the likelihood of different macro outcomes, as well as return and franchise improvements).

Key assumptions:

- Cost of equity: 10% base, 9% bull, 15% bear.
- Return on allocated equity: 10% bull, 10% base, 9% bear
- Terminal growth: 2.5%

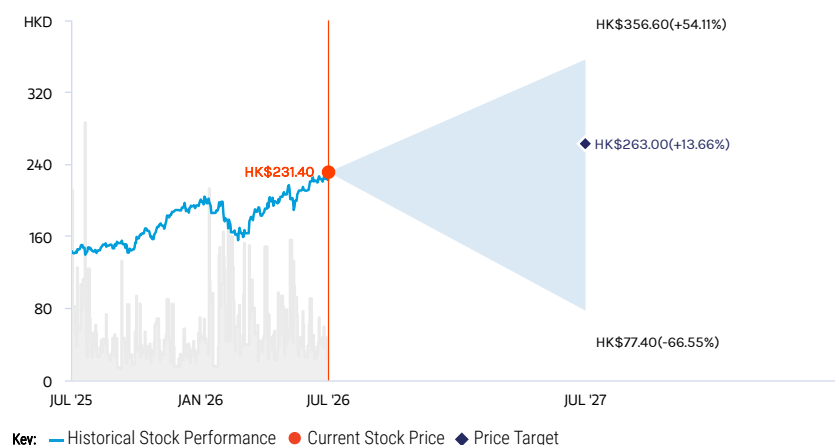
The result: target P/Bs 2.3x bull, 1.6x base, 0.5x bear.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART

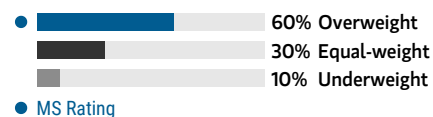


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- **Top-line growth expected to remain at top end of 5-7% range:** We expect continued growth in wealth management and cross-border corporate banking to support this. Increased loan growth and rate stabilisation are useful supports.
- **RoTE set to improve and move ahead of cost of capital:** We forecast RoTE of 13.6% in 2026. We see RoTE above 15% from 2028 onward and 18% in 2030e.
- **High cost:income ratio makes bottom line sensitive to small changes in income and credit costs.**
- **High payouts to shareholders:** Share buybacks and dividends will account for over 68% of earnings.
- **Valuation is undemanding.**

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$356.60

14.4x bull case 2027e EPS

Falling oil price leads to more resilient Asian GDP growth: The key Asian economies to which STAN is exposed fare better than expected, allowing stronger system loan growth. Impairments fall faster than expected.

BASE CASE

HK\$243.30

11.8x base case 2027e EPS

Returns of 14.2% in 2027e: Top line grows at top of range. Cost control is good. Credit quality remains sound.

BEAR CASE

HK\$77.40

5.4x bear case 2027e EPS

Macro disappointment, increased geopolitical risk: Asian economic growth struggles to recover rapidly, driving up credit costs. Revenue growth headwinds increase as rates fall. Geopolitical tensions increase required cost of capital.

Risk Reward – Standard Chartered (2888.HK)

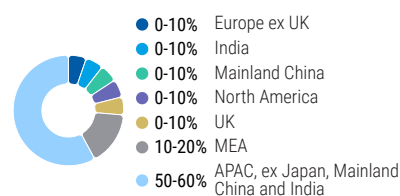
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Loan growth (%)	2.0	7.2	4.4	4.4
NIM (%)	2.03	2.00	1.98	1.98
Core PPOP growth (%)	(9.2)	32.7	13.7	13.0
Credit Costs (%)	0.23	0.25	0.30	0.29

INVESTMENT DRIVERS

- UK and global regulatory developments.
- Macroeconomic indicators, particularly in Asia.
- Short-term interest rates.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates flat or rising
- Bank able to return capital faster than currently expected

RISKS TO DOWNSIDE

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver cost targets

OWNERSHIP POSITIONING

Inst. Owners, % Active 84.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (US\$, mn) 22,451 23,830 24,223
23,489

Net income (US\$, mn) 5,455 5,796 6,479
5,992

EPS (US\$) 2.51 2.67 3.08
2.77

DPS (US\$) 0.76 0.80 1.81
0.92

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Standard Chartered Bank (STAN.L)

Longer-term RoTE and capital returns remain supportive; valuation undemanding

PRICE TARGET 2,526p

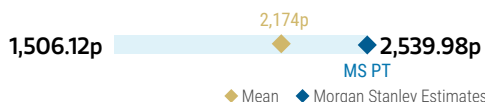
Gordon Growth model, probability-weighted 25% bull, 70% base, 5% bear (based on the likelihood of different macro outcomes, as well as return and franchise improvements).

Key assumptions:

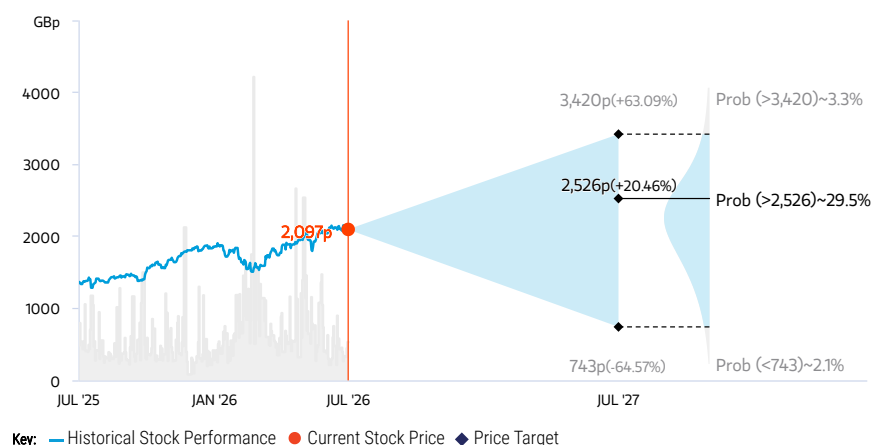
- Cost of equity: 10% base, 9% bull, 15% bear.
- Return on allocated equity: 10% bull, 10% base, 9% bear
- Terminal growth: 2.5%

The result: target P/Bs 2.3x bull, 1.56x base, 0.5x bear.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

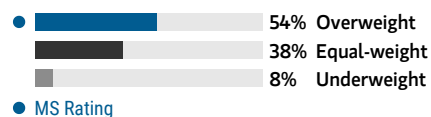


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 28 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- **Top-line growth expected to remain at top end of 5-7% range:** We expect continued growth in wealth management and cross-border corporate banking to support this. Increased loan growth and rate stabilisation are useful supports.
- **RoTE set to improve and move ahead of cost of capital:** We forecast RoTE of 13.6% in 2026. We see RoTE above 15% from 2028 onward and 18% in 2030e.
- **High cost:income ratio makes bottom line sensitive to small changes in income and credit costs.**
- **High payouts to shareholders:** Share buybacks and dividends will account for over 68% of earnings.
- **Valuation is undemanding.**

Consensus Rating Distribution



Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

3,420p

14.4x bull case 2027e EPS

Falling oil price leads to more resilient Asian GDP growth: The key Asian economies to which STAN is exposed fare better than expected, allowing stronger system loan growth. Impairments fall faster than expected.

BASE CASE

2,333p

11.8x base case 2027e EPS

Returns of 14% in 2027e: Top line grows at top of guided range. Cost control is good. Credit quality remains sound.

BEAR CASE

743p

5.4x bear case 2027e EPS

Macro disappointment, increased geopolitical risk: Asian economic growth struggles to recover rapidly, driving up credit costs. Revenue growth headwinds increase as rates fall. Geopolitical tensions increase required cost of capital.

Risk Reward – Standard Chartered Bank (STAN.L)

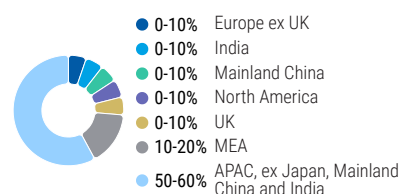
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Loan growth (%)	2.0	7.2	4.4	4.4
NIM (%)	2.03	2.00	1.98	1.98
Core PPOP growth (%)	(9.2)	32.7	13.7	13.0
Credit Costs (%)	0.23	0.25	0.30	0.29

INVESTMENT DRIVERS

- UK and global regulatory developments.
- Macroeconomic indicators, particularly in Asia.
- Short-term interest rates.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates flat or rising
- Bank returns capital sooner than currently expected

RISKS TO DOWNSIDE

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver on cost targets

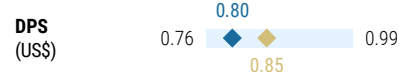
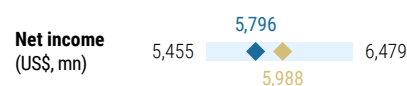
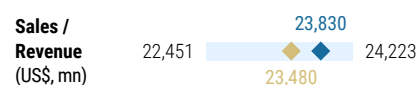
OWNERSHIP POSITIONING

Inst. Owners, % Active	84.7%				
HF Sector Long/Short Ratio	2.2x				
HF Sector Net Exposure	18.6%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Selvie Jusman, CFA; Nick Lord; Alvaro Serrano.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of June 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: HK Exchanges & Clearing, HSBC Holdings, **Standard Chartered**, Standard Chartered Bank.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of HSBC Holdings, **Standard Chartered**, Standard Chartered Bank.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from HSBC Holdings, **Standard Chartered**, Standard Chartered Bank.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from HK Exchanges & Clearing, HSBC Holdings, **Standard Chartered**, Standard Chartered Bank.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from BOC Hong Kong, HK Exchanges & Clearing, HSBC Holdings, **Standard Chartered**, Standard Chartered Bank.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: HK Exchanges & Clearing, HSBC Holdings, **Standard Chartered**, Standard Chartered Bank.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: BOC Hong Kong, HK Exchanges & Clearing, HSBC Holdings, **Standard Chartered**, Standard Chartered Bank.

Morgan Stanley & Co. International plc is a corporate broker to HSBC Holdings.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

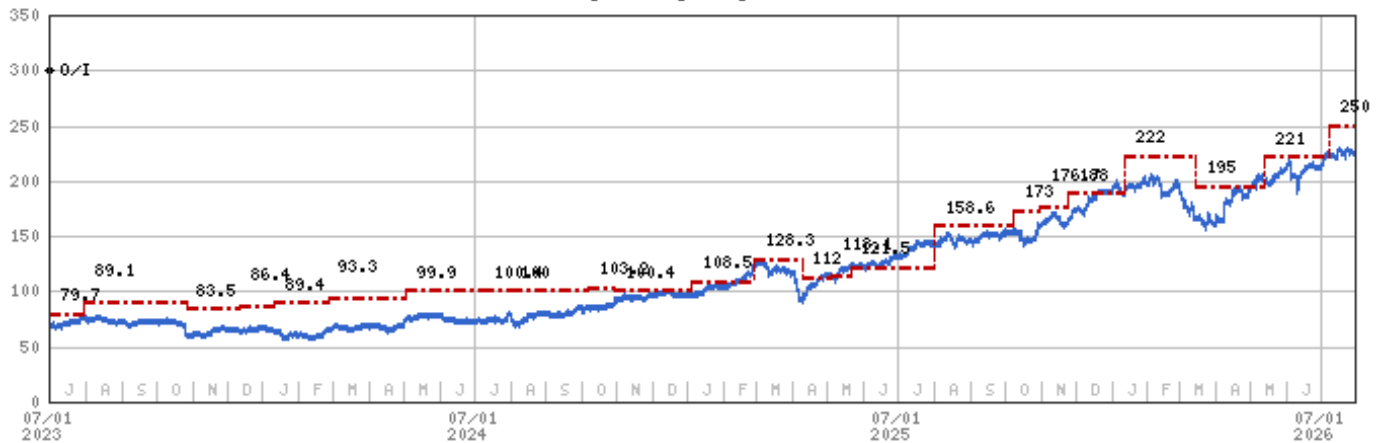
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Standard Chartered (2888.HK) - As of 07/29/26 GMT in HKD
Industry : Hong Kong Financials



Stock Rating History: 7/1/21 : E/C; 10/17/22 : O/I

Price Target History: 1/12/21 : 51; 8/11/21 : 52; 2/16/22 : 58.5; 6/8/22 : 61.8; 10/17/22 : 69.3; 2/17/23 : 79.7; 7/31/23 : 89.1; 10/27/23 : 83.5; 12/12/23 : 86.4; 1/11/24 : 89.4; 2/26/24 : 93.3; 5/3/24 : 99.9; 7/8/24 : 100.4; 8/1/24 : 100; 10/7/24 : 103.2; 10/30/24 : 100.4; 1/4/25 : 108.5; 2/27/25 : 128.3; 4/9/25 : 112; 5/5/25 : 113.1; 5/21/25 : 121.5; 8/1/25 : 158.6; 10/8/25 : 173; 10/31/25 : 176.7; 11/24/25 : 188; 1/13/26 : 222; 3/14/26 : 195; 5/13/26 : 221; 7/7/26 : 250

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as * Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Standard Chartered Bank (STAN.L) - As of 07/29/26 GMT in GBP Industry : Banks



Stock Rating History: 7/1/21 : E/A; 5/17/22 : E/I; 9/15/22 : E/A; 10/1/24 : E/I; 5/21/25 : E/A; 11/24/25 : O/A

Price Target History: 3/2/21 : 470; 8/11/21 : 480; 2/16/22 : 547; 6/8/22 : 618; 7/6/22 : 645; 10/17/22 : 797; 2/13/23 : 693; 2/17/23 : 845; 4/18/23 : 821; 7/11/23 : 797; 7/31/23 : 891; 10/27/23 : 835; 12/12/23 : 877; 1/11/24 : 902; 2/26/24 : 940; 5/3/24 : 1016; 7/8/24 : 1003; 8/1/24 : 1000; 10/7/24 : 1012; 10/31/24 : 994; 1/4/25 : 1118; 2/27/25 : 1309; 4/9/25 : 1128; 5/6/25 : 1092; 5/21/25 : 1168; 8/1/25 : 1516; 10/7/25 : 1654; 10/31/25 : 1718; 11/24/25 : 1848; 1/13/26 : 2122; 3/14/26 : 1865; 4/13/26 : 1863; 5/13/26 : 2090; 7/7/26 : 2369

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited. Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 14-9169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital

Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

Morgan Stanley Hong Kong Securities Limited is the liquidity provider/market maker for securities of BOC Hong Kong, HK Exchanges & Clearing, HSBC Holdings, **Standard Chartered**, Standard Chartered Bank listed on the Stock Exchange of Hong Kong Limited. An updated list can be found on HKEx website: <http://www.hkex.com.hk>.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISIM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Hong Kong Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/29/2026)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$52.20
HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$164.70
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$231.40
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$407.80

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

© 2026 Morgan Stanley